

reached 55. And by 1999, you were surely convinced that the train was solid, safe, and bound for glory.

That was when it paid to look out the window—especially if you were in tech stocks and getting ready for retirement!

The efficient market hypothesis, as it is known, was a convenient thing to believe; it allowed the financial industry—fund managers, wealth advisers, private client counselors—to “model” investment strategies based on past data. If, for example, you believe the price of oil bumps around without any underlying rhyme or reason, you can just substitute volatility for risk. You can look at what the price of oil has done in the past. Then, you assume (*big* assumption) that the price will continue to bump around more or less as it always has.

The academics had convenient digital records going back, say, only 20 years. So they used what they had. If they saw that the price of oil, for example, had varied from \$9 to \$35, they figured they had a range of possible “risk,” with the extremes on each end. Then they could do all manner of mathematics to determine the likelihood of various movements in between.

Peak oil? The debasement of the dollar? Rise of the emerging markets? End of the world? What difference did they make? Price movements were supposed to be random. Like lottery numbers. There was no point in looking for deep patterns.

Jeffrey Snider describes why confusing volatility with real risk is a big mistake:

Conventional thinking says that if a standard deviation is high, describing a “volatile” market or stock, then the chance of losing money is also high. . . . Conversely, low measures of volatility are thought to signify less risk. . . .

We can compare two very different market periods to see if the common measures of risk/volatility are sufficient. Using the S&P 500 as a market proxy, in Time Period 1, the one-year standard deviation of weekly returns is 54 index points and the VIX index (a measure of implied volatility derived from stock options) is 16.67.